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Comparison between Industry, Commerce and Trade

INDUSTRY	COMMERCE	TRADE
1.**Meaning:** Extraction, reproduction, conversion, processing and construction of useful products	Activities involving distribution of goods and services	Purchase and sale of goods and services
2. **Scope:** Consists of all activities involving conversion of materials and semi-finished products into finished goods.	Comprises trade auxiliaries to trade	Comprises exchange of goods and services
3. **Capital:** Generally large amount of capital is required	Need for capital is comparatively less	Small capital is needed to maintain stock and to grant credit
4. **Risk:** Risk involved is usually high	Relatively less risk is involved	Relatively less risk is involved
5. **Side:** It represents supply side of goods and services	It represents demand side of goods and services	It represents both supply and demand
6. **Utility creation:** It creates form utility by changing the form or shape of materials	It creates place utility by moving goods from producers to consumers	It creates possession utility through exchange

v. Warehousing

Usually, goods are not sold or consumed immediately after production. They are held in stock to make them available as and when required. Special arrangement must be made for storage of goods to prevent loss or damage. Warehousing helps business firms to overcome the problem of storage and facilities the availability of goods when needed. Prices are thereby maintained at a reasonable level through continuous supply of goods.

Key Terms

Industry
Commerce
Trade

Exercise

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I. Choose the Correct Answer

1. The industries engaged in extraction of iron ore are known as
   a. Construction Industries
   b. Manufacturing Industries
   c. Extraction Industries
   d. Genetic Industries

2. Auxiliaries to trade is also called as
   a. Trade
   b. Advertisement
   c. Warehousing
   d. Aids to Trade